has a wide coverage which includes checks and controls exercised to ensure efficient and effective functioning of the business organisation. In other words, it is a process implemented by the management to provide the following:

i. Proper accounting and reliability of records,
ii. Effectiveness and efficiency of business operations, and
iii. Compliance with laws and regulations.

The scope of internal control system is vast. It comprises both administrative control as well as accounting control.

2.3 Definition

- **Auditing Practices (SAP-6) of Institute of Chartered Accountants of India:** "Internal control system refers to the whole system of controls, financial or otherwise, established by the management in the conduct of a business including internal check, internal audit and other forms of control."

From various definitions, the following points emerge:

- Internal control is a system of control or practice put in place by management.
- Controls are established over financial and non-financial areas of business.
- Controls take the forms like internal audit and internal check.

2.4 Objectives of Internal Control

Each organization must have a system of internal control in place for achieving the preset goals. Other than accomplishing the desired goals and objectives of the organization, this system plays a very important role in any organization. The main objectives of internal control are as follows:



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